

BUILD YOUR SKILLS: CREDIT CARDS

Please answer the following questions. Answers can be found in the back of the book.

1. How is spending money with a credit card different from spending money with a debit card?
2. How long is a billing cycle? When is a payment usually due for the previous billing cycle?
3. How can you use a credit card in such a way that you will never pay interest?
4. Your credit card's billing cycle is from June 1 to June 30 and you spend \$500 during that time. The due date for that billing cycle is July 21. Assuming you had no previous balance on the card and your APR is 9%, how much money would you owe on the due date (July 21)?